Practice workbook · Writing up customer and supplier accounts

Preparing and balancing a credit customer's or supplier's personal account, and explaining an unusual balance on one.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-20

1. Question 14 · part c · 8 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part c only.

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14 Sean, a sole trader, maintains a full set of accounting records.

On 1 July 2025 Sean owed Sui, a credit supplier, $1 540 for goods purchased on 30 June 2025.

Sui allows a trade discount of 15% on all credit purchases made by Sean over $500. Sui also allows Sean a cash discount of 5% on all payments made within 10 days of purchase.

The following transactions took place between Sean and Sui during July 2025.

July	Transaction
4	Purchased goods on credit, list price $620
8	Paid the outstanding balance at 1 July by bank transfer.
10	Returned some of the goods purchased on 4 July, $80
25	Paid the remaining balance on Sui's account by bank transfer.
29	Purchased goods on credit, list price $340

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1. Question 14 · part c · 8 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part c only.

(a) Prepare the following books of original entry for the month of July 2025 showing the total for the month.

(i)

(3)

Purchases Day Book

Date	Supplier	$

(ii)

(2)

Purchase Returns Day Book

Date	Supplier	$

On 1 July 2025 the balance of the purchases account was $12 868

(b) Prepare the purchases account for the year ended 31 July 2025.

(2)

Purchases Account

Date	Details	$	Date	Details	$

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1. Question 14 · part c · 8 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part c only.

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(c) Prepare the account of Sui in Sean's books of account. Balance the account on 31 July 2025 and bring the balance down on 1 August 2025.

(8)

Sui Account

Date	Details	$	Date	Details	$

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(Total for Question 14 = 15 marks)

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1. Question 14 · part c · 8 marks · Working and answer

Working and answer

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2. Question 12 · part whole · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

12 On 1 April 2019 Shazia, a credit customer, owed Bert $240.

During the month of April 2019, the following transactions with Shazia took place.

April	Transaction
12	Sold goods, $486
23	Goods returned, $72
29	Received the balance owing at 1 April 2019

Prepare the account of Shazia in the books of Bert for the month ended 30 April 2019.
Balance the account on that date and bring the balance down on 1 May 2019.

Shazia Account

Date 2019	Details	$	Date 2019	Details	$

(Total for Question 12 = 5 marks)

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2. Question 12 · part whole · 5 marks · Working and answer

Working and answer

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3. Question 14 · part b · 7 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

14 Isabella owns a business selling clothing.

(a) State the business document and the book of original entry for **each** transaction in Isabella's books of account.

(6)

Transaction	Business document	Book of original entry
Purchased a new motor vehicle on credit, $5 000		
Purchased postage stamps, $3		
Sold goods for cash, $910		

On 1 December 2019 Isabella was owed $480 by Shania, a credit customer. During the month of December 2019, the following transactions took place.

December 2019	Transaction
9	Sold goods on credit to Shania, $195
14	Shania returned goods, $35
27	Shania paid the balance owing at 1 December 2019 by cheque, after deducting a 5% discount.

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3. Question 14 · part b · 7 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

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(b) Prepare the account of Shania in Isabella's books of account. Balance the account at 31 December 2019 and bring the balance down at 1 January 2020.

(7)

Shania Account

Date	Details	$	Date	Details	$

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(c) State **one** purpose of:

(i) a statement of account

(1)

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(ii) a remittance advice.

(1)

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(Total for Question 14 = 15 marks)

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3. Question 14 · part b · 7 marks · Working and answer

Working and answer

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4. Question 14 · part b.i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b.i only.

14 Leon buys and sells goods only on credit.

(a) Complete the table.

(6)

Transaction	Source document	Book of original entry
Sold goods		
Received payment from customer		
Purchased a non-current asset on credit		

On 1 March 2020 the balance owing by Leon to Jay, a credit supplier, was $1 250

The following transactions took place during March 2020.

March	Transaction
3	Purchased goods on credit, $615
8	Returned faulty goods, $38
23	Paid the balance at 1 March 2020 by direct debit after deducting 2% cash discount.

(b) (i) Prepare Jay's account. Balance the account on 31 March 2020 and bring the balance down on 1 April 2020.

(6)

Jay's Account

Date	Details	$	Date	Details	$

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4. Question 14 · part b.i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b.i only.

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(ii) Identify, indicating with a tick (✓), the ledger in which Jay's account would be maintained in Leon's books.

(1)

Nominal ledger	
Receivables ledger	
Payables ledger	

(c) State **one** reason why a business offers:

(i) trade discount

(1)

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(ii) cash discount.

(1)

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(Total for Question 14 = 15 marks)

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4. Question 14 · part b.i · 6 marks · Working and answer

Working and answer

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5. Question 15 · part b.i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part b.i only.

15 Martina, a retailer, maintains a full set of accounting records.

On 1 April 2022, Martina owed Rafa $640 for goods supplied.

During April 2022, the following transactions took place between Martina and Rafa.

April 2022	Transaction
12	Purchased goods, list price $850, less a trade discount of 20%
19	Returned goods, list price $100, from the order received on 12 April 2022
29	Paid the balance owing at 1 April 2022 by credit transfer after taking a cash discount of 5%

(a) State the book of original entry for **each** transaction.

(3)

April 2022	Book of original entry
12	
19	
29	

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5. Question 15 · part b.i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part b.i only.

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(b) (i) Prepare the account of Rafa for the month of April 2022. Balance the account on 30 April 2022 and bring the balance down on 1 May 2022.

(6)

Rafa Account

Date 2022	Details	$	Date 2022	Details	$

(ii) State in which section of the statement of financial position at 30 April 2022 the balance of Rafa's account would appear.

(1)

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5. Question 15 · part b.i · 6 marks · Working and answer

Working and answer

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6. Question 13 · part whole · 5 marks

2023 JAN · Paper 01

Further practice · Attempt part whole only.

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13 On 1 September 2022 Omar owed Reece, a credit supplier, $840

During the month of September 2022, the following transactions between Omar and Reece took place.

September 2022	Transaction
5	Purchased goods, $640
17	Returned goods, $190
28	Paid in full the balance owing at 1 September 2022

Prepare the account of Reece for the month ended 30 September 2022. Balance the account on that date and bring the balance down on 1 October 2022

(5)

Reece Account

Date 2022	Details	$	Date 2022	Details	$

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(Total for Question 13 = 5 marks)

6. Question 13 · part whole · 5 marks · Working and answer

Working and answer

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7. Question 15 · part c · 7 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

15 (a) State **two** reasons for offering a trade discount.

(2)

1 .....

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2 .....

.....

(b) State **two** reasons why a credit customer's account may have a credit balance.

(2)

1 .....

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2 .....

.....

Kirk maintains a full set of accounting books and offers credit customers a 5% trade discount on orders over $1 000

During January 2023 the following transactions took place between Kirk and Bella.

January 2023	Transaction
2	Cheque received, $3 500, in full settlement of the account balance on 1 January 2023 of $3 720
9	Sold goods, list price $880
17	Returned goods sold on 9 January 2023, $170
28	Sold goods, list price $1 300

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7. Question 15 · part c · 7 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

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(c) Prepare the account of Bella for the month of January 2023. Balance the account on 31 January 2023 and bring the balance down on 1 February 2023.

(7)

Bella Account

Date 2023	Details	$	Date 2023	Details	$

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(d) (i) State **two** benefits of using accounting software.

(2)

1 .....

2 .....

(ii) State **two** methods of protecting data when using accounting software.

(2)

1 .....

2 .....

(Total for Question 15 = 15 marks)

7. Question 15 · part c · 7 marks · Working and answer

Working and answer

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8. Question 14 · part b · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

14 (a) State the source document and book of original entry for **each** transaction.

(8)

Transaction	Source document	Book of original entry
Paid credit supplier by cheque		
Purchased goods on credit		
Returned faulty goods to credit supplier		
Purchased non-current asset on credit		

On 1 April 2023 Magnusson owed Tina, a credit supplier, $750

The following transactions took place between them during April 2023.

April	Transaction
4	Paid the balance at 1 April 2023 by cheque after deducting a 2% cash discount.
12	Purchased goods on credit, $2 120
22	Returned faulty goods, $130

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8. Question 14 · part b · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

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(b) Prepare the account of Tina. Balance the account on 30 April 2023 and bring the balance down on 1 May 2023.

(6)

Tina Account

Date 2023	Details	$	Date 2023	Details	$

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(c) State **one** reason why a supplier's account could have a debit balance.

(1)

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(Total for Question 14 = 15 marks)

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8. Question 14 · part b · 6 marks · Working and answer

Working and answer

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9. Question 14 · part b · 11 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

14 (a) State **two** reasons why a business may offer a trade discount to customers.

(2)

1 .....

2 .....

Moore is a wholesaler who sells goods on a credit basis to several local retailers.

All his credit customers receive a 10% trade discount.

On 1 March 2024 the following balances were due from his credit customers.

Customer	$
Park Stores	400
Green News	1 256
Mary's Sweets	176

During the month of March 2024, the following transactions took place.

March 2024	Transaction
3	Sold goods on credit to Park Stores, list price $120
7	Green News returned goods, list price $50
11	Received a cheque from Mary's Sweets in settlement of her account balance on 1 March 2024.
18	Sold goods on credit to Green News, list price $280
28	Received a cheque from Green News in full settlement of its account.
29	Sold goods on credit to Park Stores, list price $280
30	Received a cheque from Park Stores on account, $500
30	The cheque received from Mary's Sweets on 11 March 2024 is returned by the bank as dishonoured.

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9. Question 14 · part b · 11 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(b) Prepare the following ledger accounts in the books of Moore.

Balance the accounts on 31 March 2024 and bring the balances down on 1 April 2024.

(11)

Park Stores Account

Date	Details	$	Date	Details	$

Green News Account

Date	Details	$	Date	Details	$

Mary's Sweets Account

Date	Details	$	Date	Details	$

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9

Turn over

9. Question 14 · part b · 11 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Moore is considering offering cash discounts to his credit customers.

(c) State **two** benefits that this may bring to his business.

(2)

1 .....

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2 .....

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(Total for Question 14 = 15 marks)

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9. Question 14 · part b · 11 marks · Working and answer

Working and answer

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10. Question 14 · part a · 5 marks

2024 JUN · Paper 01

Further practice · Attempt part a only.

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14 Ling owns a business selling cameras. She maintains a full set of accounting records.

On 1 March 2024, the balance on Delia's account in Ling's trade receivables ledger was $1 220

During March 2024 the following transactions took place between Ling and Delia.

March 2024	Transaction
8	Sold goods to Delia, $460
17	Delia returned damaged goods, $170
30	Delia settled her balance at 1 March 2024 by credit transfer after taking a cash discount of 5%

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(a) Prepare the account of Delia. Balance the account at 31 March 2024 and bring the balance down on 1 April 2024.

(5)

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Delia Account

Date 2024	Details	$	Date 2024	Details	$

10. Question 14 · part a · 5 marks

2024 JUN · Paper 01

Further practice · Attempt part a only.

The following additional information has been extracted from Ling's books for the month of March 2024.

	$
Trade receivables ledger balances at 1 March 2024	84 290
Cash sales	12 400
Contra / set off to trade payables ledger	810
Credit customer's cheque dishonoured	260
Credit sales	93 100
Discount allowed	4 650
Discount received	2 340
Receipts from credit customers	87 360
Returns inwards	4 020
Returns outwards	6 310

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10. Question 14 · part a · 5 marks

2024 JUN · Paper 01

Further practice · Attempt part a only.

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(b) Prepare the trade receivables ledger control account for the month of March 2024. Balance the account at 31 March 2024 and bring the balance down on 1 April 2024.

(8)

Trade Receivables Ledger Control Account

Date 2024	Details	$	Date 2024	Details	$

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(c) Explain **one** reason why a contra entry may arise.

(2)

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(Total for Question 14 = 15 marks)

10. Question 14 · part a · 5 marks · Working and answer

Working and answer

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11. Question 17 · part b · 8 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

17 (a) Explain how the preparation of a trade receivables control account can help to prevent fraud.

(2)

Rio sells goods on credit to Paulo. He also purchases goods from Paulo on credit.

The two businesses have an agreement that they will always settle their accounts on the last day of each month.

During the month of March 2025, the following transactions took place between them.

March	Transaction
2	Rio sold goods on credit to Paulo, $580
18	Rio purchased goods on credit from Paulo, $690
21	Rio returned goods to Paulo, $80
28	Paulo returned goods to Rio, $110
31	Rio set off the balance on the two accounts and a payment was made to settle the remaining balance.

(b) Prepare, for the month ended 31 March 2025, in the books of Rio, the account of Paulo in **both** the receivables ledger and the payables ledger.

(8)

Receivables Ledger Paulo Account

Date	Details	$	Date	Details	$

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P 7 8 7 9 1 A 0 1 4 2 0

11. Question 17 · part b · 8 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Payables Ledger Paulo Account

Date	Details	$	Date	Details	$

(c) Advise Rio whether he should start using spreadsheets to manage his receivables and payables.

(5)

(Total for Question 17 = 15 marks)

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11. Question 17 · part b · 8 marks · Working and answer

Working and answer

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12. Question 14 · part c · 10 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

14 (a) State **two** benefits to a business of offering a trade discount.

(2)

1 .....

2 .....

Mira owns a retail business. She maintains a full set of accounting records.

On 1 March 2025, the balances on Mira's trade receivables ledger were Alicia, $1 440, and BZ Traders, $458

Mira allows Alicia a 10% trade discount.

During March 2025, the following transactions took place.

March 2025	Transaction
10	Received a cheque, $426, from BZ Traders in part settlement of the outstanding balance at 1 March 2025.
10	Sold goods on credit to Alicia, list price $850
12	Sold goods on credit to BZ Traders, list price $310
16	Alicia returned damaged goods to Mira, list price $120
19	Received notice from the bank that the cheque received from BZ Traders, $426, had been dishonoured.
30	Alicia settled the outstanding balance at 1 March 2025 by bank transfer after taking a cash discount of 5%.
31	Mira wrote off $32 on BZ Traders' account as irrecoverable.

(b) Prepare a journal entry to record the transaction on 31 March 2025. A narrative **is** required.

(3)

Journal

Date 2025	Account	Debit $	Credit $
March 31			

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12. Question 14 · part c · 10 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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(c) Prepare the following ledger accounts in the books of Mira. Balance the accounts at 31 March 2025 and bring the balances down on 1 April 2025.

(10)

Alicia Account

Date 2025	Details	$	Date 2025	Details	$

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BZ Traders Account

Date 2025	Details	$	Date 2025	Details	$

(Total for Question 14 = 15 marks)

12. Question 14 · part c · 10 marks · Working and answer

Working and answer

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13. Question 15 · part b · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part b only.

15 (a) State **two** reasons for offering a trade discount.

(2)

1 .....

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2 .....

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(b) State **two** reasons why a credit customer's account may have a credit balance.

(2)

1 .....

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2 .....

.....

Kirk maintains a full set of accounting books and offers credit customers a 5% trade discount on orders over $1 000

During January 2023 the following transactions took place between Kirk and Bella.

January 2023	Transaction
2	Cheque received, $3 500, in full settlement of the account balance on 1 January 2023 of $3 720
9	Sold goods, list price $880
17	Returned goods sold on 9 January 2023, $170
28	Sold goods, list price $1 300

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13. Question 15 · part b · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part b only.

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(c) Prepare the account of Bella for the month of January 2023. Balance the account on 31 January 2023 and bring the balance down on 1 February 2023.

(7)

Bella Account

Date 2023	Details	$	Date 2023	Details	$

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(d) (i) State **two** benefits of using accounting software.

(2)

1 .....

2 .....

(ii) State **two** methods of protecting data when using accounting software.

(2)

1 .....

2 .....

(Total for Question 15 = 15 marks)

13. Question 15 · part b · 2 marks · Working and answer

Working and answer

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14. Question 14 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

14 (a) State the source document and book of original entry for **each** transaction.

(8)

Transaction	Source document	Book of original entry
Paid credit supplier by cheque		
Purchased goods on credit		
Returned faulty goods to credit supplier		
Purchased non-current asset on credit		

On 1 April 2023 Magnusson owed Tina, a credit supplier, $750

The following transactions took place between them during April 2023.

April	Transaction
4	Paid the balance at 1 April 2023 by cheque after deducting a 2% cash discount.
12	Purchased goods on credit, $2 120
22	Returned faulty goods, $130

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14. Question 14 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

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(b) Prepare the account of Tina. Balance the account on 30 April 2023 and bring the balance down on 1 May 2023.

(6)

Tina Account

Date 2023	Details	$	Date 2023	Details	$

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(c) State **one** reason why a supplier's account could have a debit balance.

(1)

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(Total for Question 14 = 15 marks)

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Working and answer